

SiyaBusa ERP

SUBSCRIPTION AGREEMENT TEMPLATE

Investor & Partner Documentation

Masaphokati Technologies (Pty) Ltd

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Department: Executive

Classification: Confidential

WE RULE. WE GOVERN. WE EMPOWER.

SHARE SUBSCRIPTION AGREEMENT

Legal agreement template for investors subscribing for ordinary shares, including payment terms, representations, warranties, and FICA compliance requirements.

Share Subscription Agreement

BETWEEN:

1. **Masaphokati Technologies (Pty) Ltd** (Registration Number: [____])
(hereinafter referred to as the "Company")

AND:

2. **[INVESTOR NAME]** ([ID/Registration Number])
(hereinafter referred to as the "Subscriber")
-

Recitals

WHEREAS:

- A. The Company is a private company incorporated in terms of the laws of the Republic of South Africa.
- B. The Company has an authorized share capital of **1,000,000,000 (One Billion)** Ordinary Shares with no par value.
- C. The Company wishes to raise capital for business development purposes.
- D. The Subscriber wishes to subscribe for Shares in the Company on the terms and conditions set out herein.

NOW THEREFORE the Parties agree as follows:

1. Interpretation

1.1 Definitions

Term	Definition
"Business Day"	Any day other than a Saturday, Sunday, or public holiday in South Africa
"Closing Date"	The date on which the Subscription is completed
"Companies Act"	The Companies Act, No. 71 of 2008, as amended
"MOI"	The Memorandum of Incorporation of the Company
"Shareholders Agreement"	The agreement between all shareholders dated on or about the date hereof
"Shares"	The Ordinary Shares subscribed for hereunder
"Subscription Amount"	The amount set out in Clause 2.2
"Subscription Shares"	The number of Shares set out in Clause 2.1

2. Subscription

2.1 Subscription for Shares

The Subscriber hereby subscribes for, and the Company hereby allots and issues to the Subscriber:

Item	Detail
Number of Shares	[NUMBER] Ordinary Shares
Class of Shares	Ordinary Shares with no par value
Price per Share	R0.10 (Ten Cents)

2.2 Subscription Amount

The total subscription amount payable by the Subscriber is:

Calculation	Amount
Number of Shares	[NUMBER]
Price per Share	R0.10
Total Subscription Amount	R[AMOUNT]

2.3 Percentage Holding

Upon issue of the Subscription Shares, the Subscriber shall hold approximately **[X]**% of the issued share capital of the Company.

3. Payment

3.1 Payment Terms

The Subscription Amount shall be paid as follows:

Tranche	Amount	Due Date
Full Amount	R[AMOUNT]	On or before the Closing Date

3.2 Payment Method

Payment shall be made by electronic funds transfer to:

Bank Details	
Bank	[Bank Name]
Account Name	Masaphokati Technologies (Pty) Ltd
Account Number	[Account Number]
Branch Code	[Branch Code]
Reference	[Investor Name] - Seed Investment

3.3 Proof of Payment

The Subscriber shall provide proof of payment to the Company within 2 Business Days of making payment.

4. Closing

4.1 Closing Date

The Closing shall take place on [DATE], or such other date as the Parties may agree in writing.

4.2 Conditions Precedent

Closing is subject to satisfaction of the following conditions:

1. Payment of the full Subscription Amount
2. Execution of the Shareholders Agreement
3. Board resolution authorizing the issue of Shares
4. No material adverse change in the Company
5. Accuracy of representations and warranties

4.3 Deliverables at Closing

4.3.1 By the Company:

- Board resolution authorizing the issue
- Updated share register reflecting the Subscriber
- Share certificate (if requested)
- Signed Shareholders Agreement

4.3.2 By the Subscriber:

- Payment of Subscription Amount
 - FICA documentation (certified ID, proof of address)
 - Source of funds declaration
 - Signed Shareholders Agreement
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5. Representations and Warranties

5.1 Company Representations

The Company represents and warrants to the Subscriber that:

5.1.1 Corporate

- The Company is duly incorporated and validly existing
- The Company has the power to enter into this Agreement
- This Agreement has been duly authorized
- The execution does not breach any law or agreement

5.1.2 Share Capital

- The authorized share capital is 1,000,000,000 Ordinary Shares
- All issued Shares are fully paid and validly issued
- The Subscription Shares will be validly issued

5.1.3 Business

- The Company owns all material Intellectual Property
- There is no material litigation pending or threatened
- The Company is compliant with all material laws

5.1.4 Financial

- The financial information provided is accurate
- There are no undisclosed material liabilities
- No material adverse change has occurred

5.2 Subscriber Representations

The Subscriber represents and warrants to the Company that:

5.2.1 Capacity

- The Subscriber has full legal capacity to enter into this Agreement
- This Agreement has been duly authorized
- The Subscriber is not insolvent or subject to winding-up

5.2.2 Investment

- The Subscriber is subscribing for investment purposes
- The Subscriber has sufficient funds to pay the Subscription Amount
- The source of funds is lawful
- The Subscriber understands the risks of the investment

5.2.3 Information

- The Subscriber has received all information required
- The Subscriber has had opportunity to ask questions
- The Subscriber is not relying on any representation not contained herein

5.2.4 Sophisticated Investor

The Subscriber confirms that they:

- Have sufficient knowledge and experience in business and financial matters
- Are capable of evaluating the merits and risks of this investment
- Can bear the economic risk of total loss of this investment

6. Use of Funds

6.1 Committed Use

The Company commits to use the aggregate proceeds from the Seed Round substantially as follows:

Category	Percentage	Indicative Amount
Sales & Marketing	40%	R800,000
Team Expansion	30%	R600,000
Operations	15%	R300,000
Product Enhancement	10%	R200,000
Working Capital	5%	R100,000
Total	100%	R2,000,000

6.2 Reporting

The Company shall provide monthly reports on use of funds to all investors.

7. Shareholder Rights

7.1 Shareholders Agreement

The Subscriber agrees to become a party to the Shareholders Agreement and be bound by its terms.

7.2 Summary of Key Rights

Right	Description
Information Rights	Monthly reports, quarterly financials, annual audited statements
Pro-Rata Rights	Right to maintain ownership in future rounds
Tag-Along	Right to sell alongside founders
Anti-Dilution	Weighted average protection in down rounds
ROFR	Right of first refusal on share transfers

8. Restrictions on Transfer

8.1 Lock-Up Period

The Subscriber agrees not to Transfer any Shares for a period of **12 months** from the Closing Date without prior written consent of the Company and Founders.

8.2 Shareholders Agreement

All Transfers are subject to the terms of the Shareholders Agreement.

9. Confidentiality

9.1 Obligation

Each Party agrees to keep confidential:

- The terms of this Agreement
- All information received regarding the other Party
- All business information of the Company

9.2 Exceptions

This obligation does not apply to information that:

- Is or becomes public (other than through breach)
 - Is required to be disclosed by law
 - Is disclosed to professional advisors under confidentiality
-

10. FICA Compliance

10.1 Documentation Required

The Subscriber shall provide:

Natural Persons:

- Certified copy of ID document
- Proof of residential address (not older than 3 months)
- Source of funds declaration

Legal Entities:

- Certified copy of registration certificate
- Certified copies of ID documents of directors/members
- Proof of registered and physical address
- Resolution authorizing the investment
- Source of funds declaration

10.2 Ongoing Compliance

The Subscriber undertakes to provide updated FICA documentation as required.

11. Tax

11.1 Responsibility

Each Party shall be responsible for its own tax obligations arising from this transaction.

11.2 Withholding

If the Company is required by law to withhold any tax, it shall be entitled to do so.

11.3 Tax Advice

The Subscriber acknowledges having obtained independent tax advice.

12. General Provisions

12.1 Entire Agreement

This Agreement, together with the Shareholders Agreement, constitutes the entire agreement between the Parties.

12.2 Amendment

No amendment shall be effective unless in writing signed by both Parties.

12.3 Assignment

The Subscriber may not assign rights under this Agreement without prior written consent.

12.4 Severability

If any provision is invalid, the remaining provisions shall continue in effect.

12.5 Notices

Notices shall be in writing delivered to the addresses below or as updated in writing.

12.6 Governing Law

This Agreement is governed by the laws of the Republic of South Africa.

12.7 Jurisdiction

The Parties submit to the jurisdiction of the High Court of South Africa.

12.8 Costs

Each Party bears its own costs, except the Company shall pay the costs of issuing the Shares.

13. Addresses for Notices

13.1 The Company

Address:	[Company Address]
Email:	[Company Email]
Attention:	The Directors

13.2 The Subscriber

Address:	[Subscriber Address]
Email:	[Subscriber Email]
Attention:	[Contact Person]

Schedules

Schedule A: Subscription Details

Item	Detail
Subscriber Name	[Name]
ID/Registration Number	[Number]
Address	[Full Address]
Contact Email	[Email]
Contact Phone	[Phone]
Subscription Shares	[Number] Ordinary Shares
Price per Share	R0.10
Total Subscription Amount	R[Amount]
Percentage of Company	[X]%
Closing Date	[Date]

Schedule B: FICA Declaration

Source of Funds Declaration

I, the undersigned, hereby declare that:

1. The funds used for this investment are derived from lawful sources.

2. The source of the funds is: [Select all that apply]

- ☐ Employment income
- ☐ Business profits
- ☐ Sale of assets
- ☐ Investment returns
- ☐ Inheritance
- ☐ Other: _____

3. I am not aware of any reason why these funds should not be accepted.

4. I undertake to inform the Company immediately if my circumstances change.

Signed:	_____
Date:	_____
Place:	_____

Signature Page

SIGNED at _____ on this ____ day of _____ 2026

For the Company: Masaphokati Technologies (Pty) Ltd

Signatory:	_____
Name:	_____
Capacity:	Director
Date:	_____

For the Subscriber:

Signatory:	_____
Name:	[SUBSCRIBER NAME]
ID/Reg Number:	[NUMBER]
Date:	_____

Witnesses (Required)

Witness 1:

Signature: _____

Name: _____

ID Number: _____

Witness 2:

Signature: _____

Name: _____

ID Number: _____

Disclaimer

This is a template subscription agreement for discussion purposes. Legal advice should be obtained before execution. Each Party should consult with their own legal advisors.

Masaphokati Technologies (Pty) Ltd

January 2026